

Subject Code	AF5341
Subject Title	Economics for Financial Analysis
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject introduces students to the basic theory and applications of economics. It provides students with relevant economic concepts and technical frameworks that will be useful <u>to the analysis of investment and corporate finance issues</u> (Outcome 1).
Intended Learning Outcomes	Upon completion of the subject, students will be able to : a. understand the fundamental concepts in microeconomics and macroeconomics; b. have a solid and skillful grasp of tools for the analysis of real world situations, in particular those related to the financial markets; c. evaluate the effectiveness of macroeconomic policy; d. evaluate basic economic and financial data.
Subject Synopsis/ Indicative Syllabus	Basic Microeconomics Opportunity cost; cost and benefit analysis; production and cost; demand and supply analysis. Market Structure and Economics of Information Perfect competition; monopoly; oligopoly; game theory; economics of information. Basic Macroeconomic Issues National income accounting; employment; inflation; money and interest rate; aggregate demand and aggregate supply analysis; fiscal policy; monetary policy. Issues in the Financial Markets Discussion on issues in the financial markets, e.g., global imbalances and financial crisis, will be blended in the above topics when applicable.
Teaching/Learning Methodology	This subject will be delivered primarily through lectures/seminars for the discussion of economic concepts and their applications to the topics concerned. Active class participation is strongly encouraged. Other learning activities, such as presentation and quiz, will be flexibly incorporated in classes to help students achieving the learning outcomes.
Assessment Methods in Alignment with Intended Learning Outcomes	Assessment components include continuous assessment (class participation, presentation and report, quiz) and final examination.

	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	1. Class participation	5%	✓	✓	✓	✓		
	2. Group presentation	10%	✓	✓	✓	✓		
	3. Individual report	15%	✓	✓	✓	✓		
	4. Mid-term test	20%	✓	✓	✓	✓		
	5. Final examination	50%	✓	✓	✓	✓		
	Total	100 %						
*Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class participation – Students have to participate actively in class and give their ideas to the in-class exercise. Presentation and report – Students have to work on a project. They are required to submit a written report on an individual basis and make presentation on their findings as a group. Midterm and final examination – Midterm and final exams are used to test students' overall understanding and application of economic concepts. Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.								
Student Study Effort Expected	Class contact:							
	▪ Lectures / Seminars		39 Hrs.					
	Other student study effort:							
	▪ Preparation for quiz and examination		39 Hrs.					
	▪ Self study and homework preparation		39 Hrs.					
	Total student study effort		117 Hrs.					
Reading List and References	<u>Textbook</u> Robert H. Frank, Ben S. Bernanke, Kate Antonovics, and Ori Heffetz, Principles of Economics, Eighth edition, 2022, McGraw Hill. OR Robert H. Frank, Ben S. Bernanke, Kate Antonovics, and Ori Heffetz, Principles of Economics, 2024 Release, 2024, McGraw Hill. <u>Reference</u> Selected newspaper and/or journal articles related to economic and financial issues.							